



CAPITAL NORVEX

Institutional Private Lending | Quebec & Ontario

LOAN AGREEMENT

CONSTRUCTION

Capital Norvex Inc. — Institutional Version — Quebec

BORROWER

PROJECT

AMOUNT\$

 CAD**TERM**

 months**DATE**

FILE No.

Structured Capital. Controlled Ambition.

CONFIDENTIAL — Reserved for signatory parties and their legal counsel



1. INTERPRETATION AND DEFINITIONS

1.1 Interpretation

Unless otherwise indicated, headings are inserted for the convenience of the parties only and do not limit the scope of the provisions. The singular includes the plural and vice versa. Any reference to a statute includes subsequent amendments thereto. Undefined terms have their customary meaning in the commercial real estate financing industry.

1.2 Definitions

"Agreement": This convention, its schedules, amendments and all ancillary documents.

"Substantial Completion": Stage where at least 97% of Project costs are committed, allowing normal use of the property.

"Budget": Detailed budget approved by Capital Norvex, including direct costs, indirect costs, contingencies, financing costs and reserves.

"Schedule": Construction timeline approved by Capital Norvex.

"Disbursement": Any advance of funds made by the Lender.

"Borrower": The borrowing entity identified herein.

"Guarantor": Any natural or legal person providing security to the Lender.

"Mortgage": First-rank real estate mortgage registered in favour of Capital Norvex.

"LTC": Loan-to-Cost ratio.

"LTV": Loan-to-Value ratio.

"Lender": CAPITAL NORVEX INC., acting on its own behalf and/or on behalf of financial partners.

"Project": Real estate development described in Schedule A.

"Score Norvex™": Capital Norvex's proprietary analysis system used for evaluation and ongoing monitoring of the file.

"SPV": Legal entity dedicated to holding the Project.

"Works": All construction work covered by the Project.

2. PARTIES

2.1 Lender

Corporate Name: CAPITAL NORVEX INC.

Address: _____

Authorized Representative: _____

2.2 Borrower

Corporate Name: _____

Business Number (BN): _____

Registered Office Address: _____

Authorized Representative: _____



Title: _____

2.3 Guarantors

The Guarantors below are jointly and indivisibly bound with the Borrower for all obligations arising from this Agreement.

Guarantor 1 – Name: _____

Guarantor 2 – Name (if applicable): _____

3. PURPOSE OF THE LOAN

Capital Norvex grants the Borrower construction financing intended exclusively for the completion of the Project described in Schedule A. Funds may not be used for any other purpose without the prior written consent of the Lender. The following are expressly prohibited without written authorization:

- Any unauthorized refinancing of existing obligations
- Any distribution to shareholders, partners or members
- Any transfer to other projects or entities

4. AMOUNT, TERM AND FINANCIAL CONDITIONS

4.1 Loan Amount

Maximum Authorized Amount: \$ _____ CAD

The Lender is not obligated to advance the full authorized amount. Disbursements are made on a discretionary basis based on construction progress and satisfaction of all conditions set forth herein.

4.2 Term

Initial Term: _____ months from the date of the first disbursement

Any extension is at the exclusive discretion of the Lender and may be subject to additional fees.

4.3 Interest Rate

Annual Rate: _____ % per year (calculated daily, compounded monthly)

Interest accrues only on amounts actually disbursed. Interest payments are due on the first business day of each month.

4.4 Fees

Fee Type	Rate / Amount	Due Date
Origination Fee	_____ %	At signing
Renewal Fee	_____ %	At each renewal
Exit Fee	Min. 3 months interest	Upon repayment
Legal Fees (Lender)	At actual cost	Upon request



Inspection / Appraisal Fees

At actual cost

At each disbursement

5. FINANCING STRUCTURE — NORVEX CLAUSE

5.1 Partner Participation

Capital Norvex may, at its sole discretion and without notice to the Borrower: finance the Loan in whole or in part through financial partners, assign or syndicate all or part of the financing, and structure economic participations of any nature.

5.2 Exclusive Administration

Capital Norvex acts as the sole manager of the financing, disbursement administrator and representative of financial partners. Only Capital Norvex holds decision-making powers with respect to the Borrower. Financial partners assume no direct liability to the Borrower, who expressly waives any direct recourse against them.

5.3 Score Norvex™

The Borrower acknowledges that Capital Norvex uses the proprietary Score Norvex™ system to evaluate, monitor and rate the file throughout the term of the Loan. The results of this analysis may influence conditions, disbursement amounts and Lender decisions.

6. CONDITIONS PRECEDENT TO DISBURSEMENTS

6.1 Conditions to First Disbursement

No initial disbursement will be made until Capital Norvex has received, reviewed and approved, in its sole discretion, all of the following:

- Constitutional documents and resolutions authorizing the loan
- Proof of injected equity (real, non-conditional funds)
- Detailed final budget and approved construction schedule
- Plans and specifications signed and sealed by qualified professionals
- General contractor agreement (form and content approved by Lender)
- Valid and current building permits
- Independent appraisal report (certified appraiser accepted by Lender)
- Phase I environmental report (Phase II if required by Lender)
- All-risk construction insurance and civil liability insurance (\$5M min.)
- Registration of first-rank Mortgage
- Signed assignment of leases (if applicable)
- Personal guarantees from Guarantors identified herein
- Complete legal opinion accepted by Lender

6.2 Ongoing Conditions

Each subsequent disbursement is conditional upon:

- Absence of any Event of Default
- Compliance with approved Budget and Schedule



- Maintenance of required insurance
- Validity of all necessary permits
- Compliance with applicable laws and regulations
- Favourable inspection report from Capital Norvex's designated Inspector

7. DISBURSEMENTS — CAPITAL NORVEX CONTROL

7.1 Absolute Discretionary Control

Capital Norvex retains absolute, exclusive and discretionary control over all disbursements. No amount is owed as long as all conditions set forth herein are not fully satisfied.

7.2 Frequency and Required Documents

Disbursements are made monthly. Each request must include:

- Formal signed disbursement request
- Independent inspection report (Inspector approved by Capital Norvex)
- Certified cost-to-date statement (CCC)
- Detailed breakdown of costs incurred and payments made
- Partial and final lien waivers from all relevant subcontractors
- Professional certificate from responsible architect or engineer

7.3 Holdback and Right of Refusal

A minimum holdback of 10% is maintained on each disbursement until Substantial Completion. Capital Norvex may, without obligation to justify:

- Refuse or reduce any disbursement
- Require additional security or additional capital injection
- Delay any payment in the event of doubt regarding progress or compliance

8. SECURITY

8.1 Real Estate Mortgage

The Borrower grants Capital Norvex a first-rank real estate mortgage encumbering the property, its present and future improvements, rents, insurance indemnities and sale proceeds.

8.2 Assignment of Leases and Guarantees

The Borrower assigns all present and future rents. Guarantors provide a joint, irrevocable and unlimited guarantee covering principal, interest, fees and all costs incurred.

8.3 Additional Security

Capital Norvex may require, at any time:

- Construction bond and labour/material payment bond
- Irrevocable letter of credit



- Corporate guarantee from an entity approved by the Lender

9. FINANCIAL CONTROL AND CASH FLOW

All funds flow through an account controlled by Capital Norvex. No withdrawal, transfer or distribution is authorized without prior written authorization. Capital Norvex may apply amounts received in the following order: fees, interest, principal, reserves. The Borrower provides full and immediate access to its accounts, books and transactions.

10. COVENANTS

10.1 Positive Covenants

- Complete the Project in accordance with plans approved by Capital Norvex
- Comply with the Budget and Schedule at all times
- Pay all contractors, subcontractors and suppliers
- Maintain all required insurance
- Provide monthly progress reports to the Lender
- Immediately notify Capital Norvex of any issue, dispute or delay

10.2 Negative Covenants (without written consent)

- No additional debt or charge on the property
- No change of general contractor
- No material modification to plans or budget
- No sale, transfer or assignment of the Project
- No distribution to shareholders or partners

10.3 Financial Covenants

Covenant	Threshold	Verification Frequency
Maximum LTV	75%	At each disbursement
Maximum LTC	80%	At each disbursement
Interest Reserve	Required	Ongoing
Financial Reports	Quarterly	Ongoing

11. REPRESENTATIONS AND WARRANTIES

The Borrower and Guarantors represent and warrant to Capital Norvex that, as of the signing date and at each disbursement:

- They are duly incorporated and in good standing under applicable laws
- They have full legal capacity to enter into these obligations
- All required authorizations have been duly obtained
- All information provided is complete, accurate and not misleading



- The Project complies with all applicable laws, standards and regulations
- No litigation, claim or legal mortgage is pending
- No Event of Default exists or is about to occur

12. EVENTS OF DEFAULT

The following constitute Events of Default, including:

Financial

- Default on interest or principal payment
- Breach of a financial covenant
- Insufficient liquidity to complete the Project

Operational

- Work stoppage of more than 5 business days
- Significant unapproved delay
- Budget overrun without authorization
- Abandonment of the Project

Legal

- Legal mortgage registered against the property
- Significant seizure or legal proceedings
- Loss or invalidity of a security

Administrative

- Revocation or suspension of building permits
- Failure to maintain required insurance
- Misrepresentation or inaccurate information

Borrower / Guarantor

- Insolvency, bankruptcy or creditor arrangement
- Unauthorized change of control of Borrower

Discretionary

- Any event deemed by Capital Norvex to compromise project completion or increase risk

13. LENDER'S REMEDIES

Upon an Event of Default, Capital Norvex may, without notice or delay:

- Immediately suspend all disbursements
- Declare the Loan immediately due and payable in full
- Enforce all security granted
- Collect rents and revenues directly
- Appoint a receiver with full powers



- Exercise any other remedy available at law

14. STEP-IN RIGHT

Upon an Event of Default, Capital Norvex may, at its sole discretion:

- Take possession of the Project and access the site without restriction
- Replace the general contractor or any other party
- Terminate any contract related to the Project
- Manage the Works directly or indirectly
- Complete the Project through any affiliated entity or agent

All costs incurred in this context become immediately due and bear interest at the increased rate provided herein. The Borrower irrevocably waives any challenge to any intervention made in good faith by Capital Norvex.

15. REPAYMENT

15.1 Maturity and Terms

Principal is repayable in full at maturity, upon sale, refinancing or stabilization of the Project, whichever occurs first. Payments are applied in the following order: fees, interest, principal.

15.2 Prepayment

Permitted, subject to a minimum penalty equivalent to three (3) months of interest calculated at the contractual rate.

16. GENERAL PROVISIONS

Governing Law	Laws of the Province of Quebec (Canada)
Jurisdiction	District of Montreal, Quebec
Assignment	Prohibited without prior written consent of Lender
Amendments	In writing, signed by the parties
Severability	Any invalid clause does not affect the remainder of the Agreement
Notices	In writing, including certified email or registered mail
Entire Agreement	This Agreement constitutes the entire agreement of the parties
Waiver	No tolerance constitutes a permanent waiver

17. SIGNATURES

IN WITNESS WHEREOF, the parties have signed this Agreement on the date indicated below, having read it.

LENDER — CAPITAL NORVEX INC.

Authorized Representative: _____



Title: _____

Date: _____

Signature : _____

BORROWER

Corporate Name: _____

Authorized Representative: _____

Title: _____

Date: _____

Signature : _____

GUARANTOR 1

Full Name: _____

Date: _____

Signature : _____

GUARANTOR 2 (if applicable)

Full Name: _____

Date: _____

Signature : _____

**SCHEDULE A — PROJECT DESCRIPTION**

Project Name	_____
Municipal Address	_____
Municipality / RCM	_____
Development Type	_____
Number of Units / Area	_____
Estimated Value at Completion	\$ _____ CAD
Total Project Cost	\$ _____ CAD
Borrower's Equity	\$ _____ CAD (____%)
General Contractor	_____
Architect / Engineer	_____
Work Start Date	_____
Expected Completion Date	_____

Plans, specifications, detailed budget and construction schedule constitute integral parts of this Schedule A and are deemed attached hereto.

The French version shall prevail in Quebec.

Initialed and approved by:

_____ (Lender) _____ (Borrower)